

Project Northbridge: financial due diligence findings (draft)

To: investment committee. From: buy-side Transaction Analytics. Date: 27 September 2026. Status: draft, subject to management's answers to the questions in section 5.

1. Scope and basis

We reviewed the seller's data-room extract for Northbridge Software Ltd: 2,192 customers and 92,732 invoice lines from January 2022 to December 2025, reconciled to the monthly management accounts. Figures come from the cleaned invoice ledger and match the databook; tab references are in brackets. The data is synthetic: this is a self-directed simulation, not client work.

2. Key findings

- Revenue reconciles [Reconciliation]. The ledger ties to the management accounts' product lines in all 48 months. 2025 net revenue is £45.76m; the reported total of £45.77m includes an unexplained manual adjustment of £15,000.
- Recurring revenue was 88.5% of 2025 revenue (£40.48m), down from 96.9% in 2024, because £4.08m of 'other implementation' was billed to existing customers in 2025 [4a].
- Headline revenue growth of 22.8% in 2025 falls to 12.1% on recurring revenue and 11.9% excluding other implementation [4a].
- ARR was £41.36m at December 2025, up 10.3%. Every recurring line was billed 7% more from January 2025 (and 5% from January 2024); before the price increase ARR grew 3.1% [4a, 4e].
- NRR was 95.8%, 98.7% and 95.4% for 2023 to 2025 (89.2% in 2025 before price); GRR fell from 94.5% to 88.8% [4d]. There is no December 2021, so 2022 cannot be measured.
- Customers who signed up from 2023 leave faster: 78.6% were still subscribed after 12 months, against 92.5% for 2017 to 2022 signups; logo churn rose to 12.7% in 2025 [4c].
- Six large accounts carry 20.8% of 2025 revenue. The largest, C1052, cut its ARR by 42.4% (£983,535) in September 2025 [4b].
- Gross margin fell from 77.8% to 73.8% in 2025, entirely from the shift towards implementation work, which earns 27.1% [4f].

3. Red flags

#	Red flag	Rating	Impact	Why it matters for value
1	2025 'other implementation' revenue	High	£4.08m, 8.9% of 2025 revenue	One-off work at the end of the period; it lifts 2025 growth from 11.9% to 22.8%.
2	Growth carried by price increases	High	£2.31m of 2025 ARR growth	Underlying ARR growth was 3.1%; a multiple priced on 10.3% overpays.
3	Retention weakening	High	GRR 88.8%; newer cohorts 78.6% at 12 months	Lower lifetime value; more new customers are needed just to stand still.
4	Largest customers contracting	High	C1052 down £983,535 ARR; C1545 down £243,915 ARR	Run-rate already lost, and renewal risk on the rest of those contracts.
5	Margin dilution from services	Medium	Blended margin 4.03 points lower in 2025	Services revenue carries a 27.1% margin.
6	Manual adjustments to reported revenue	Low	£15,000 added to 2025	Small, but a controls point in the figures the price is based on.

4. How the investor should view revenue

Basis (2025)	Amount	Growth on 2024
Reported total revenue (management accounts)	£45.77m	not used
Net revenue (invoice ledger)	£45.76m	22.8%
Excluding other implementation	£41.68m	11.9%
Recurring revenue only	£40.48m	12.1%
ARR, December 2025	£41.36m	10.3% (3.1% before price)

We suggest valuing the business on recurring revenue or ARR, treating the £4.08m as non-recurring until contracts and acceptance are provided, and underwriting growth before price increases. The December 2025 ARR already reflects the lost large-account lines.

5. Questions for management

- (Q02) Contract or statement of work for each of the 45 'other implementation' invoices billed in 2025 (£4.08m).
- (Q03) Delivery and customer-acceptance status of that work; £277,704 of it is overdue.
- (Q04) The revenue recognition basis for that work, and whether any is deferred.
- (Q05) The contracted pipeline of similar work for 2026.
- (Q15) The contractual basis and customer notice for the 5% (2024) and 7% (2025) price increases, and any plan for 2026.
- (Q16) Why C1052 and C1545 ended product lines in 2025, and the renewal status of their remaining contracts.
- (Q17) Contracts for the six large accounts, including term, termination and change-of-control clauses.
- (Q18) What changed in acquisition or onboarding from 2023, with churn reasons by customer for 2024 and 2025.
- (Q19) Churn and acquisition cost by channel; Paid Search and Partner/Reseller logo churn was 19.5% and 19.7% in 2025.
- (Q12) The journals behind the four manual adjustments to reported revenue: who posted them and why.
- (Q14) Which 2025 revenue figure appears in the information memorandum.
- (Q20) Whether the cost of the 2025 implementation work is complete, or more is to come.
- (Q06) Whether the duplicate invoices (£96,957) sit in receivables and the overdue balance.
- (Q11) Why 15 negative paid invoices (£13,844) were excluded from revenue rather than corrected.

6. Overall view: proceed, with price and structure protections

The revenue is real, reconciles to the management accounts and is mostly recurring (88.5%). The concerns are about quality and trend: 2025 growth relies on one-off implementation billing and price increases, retention is weakening, and the largest customer is shrinking. These points bear on what the business is worth, so they belong in the price and the structure.

- Price adjustment: value on December 2025 ARR (£41.36m) or recurring revenue, excluding the £4.08m of other implementation (red flags 1 and 4).
- Earn-out tied to ARR growth before price increases, or to NRR, over 12 to 24 months (red flags 2 and 3).
- Specific warranty and indemnity on the 2025 implementation contracts and their revenue recognition, and a warranty on the management accounts (red flags 1 and 6).
- Escrow or retention released on renewal of the six large accounts (red flag 4).
- Completion accounts: exclude duplicate and disputed invoices from receivables in the working capital peg.

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